

Microsoft Corporation

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Atlas · June 03, 2026

MSFT

DRAFT

Cloud / AI Infrastructure

Enterprise Software

Productivity SaaS

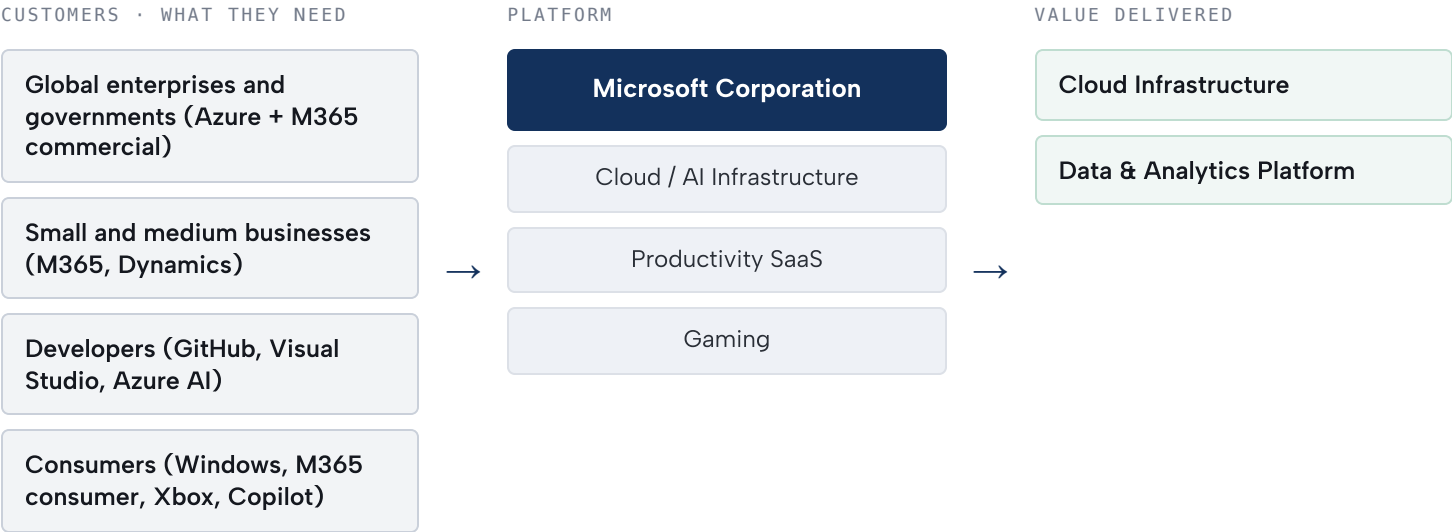
Gaming

MARKET CAP \$3.2T 2026-06-03 close	EV / REVENUE 10.1x LTM · 2026-06-03 close	SHARE PRICE \$427.34 2026-06-03 close
REVENUE \$82.9B +18% YoY; +15% cc		

BUSINESS OVERVIEW

- Microsoft (NASDAQ: MSFT) is the world's largest software company and a top-two hyperscale cloud/AI platform, ~\$3.2T market cap (2026-06-03 close).
- FQ3 2026 (ended Mar 31, 2026) revenue was \$82.9B (+18% YoY); diluted EPS \$4.27.
- Microsoft Cloud crossed \$50B in a quarter for the first time, at \$54.5B (+29%).
- Azure reaccelerated to +40% YoY (+39% cc), beating the company's own 37-38% guidance.
- AI revenue run-rate surpassed \$37B annualized, up ~123% YoY; M365 Copilot paid seats topped 20M.
- The bear case is capital intensity: ~\$190B calendar-2026 capex (~\$35B above consensus, ~\$25B from memory inflation) sent shares down ~3%.
- April 2026 OpenAI restructuring removed Azure exclusivity and IP revenue-share, extended IP licensing to 2032, framed as margin-accretive.
- Seven in-house MAI models launched at Build 2026 signal a push toward long-term AI self-sufficiency.

How the business works, left to right: who buys, what the platform provides, and the payoff.



EXECUTIVE LEADERSHIP

CHAIRMAN AND CHIEF EXECUTIVE OFFICER SINCE CEO SINCE 2014; CHAIRMAN SINCE 2021

Satya Nadella

Joined Microsoft in 1992; led the Server & Tools / Cloud and Enterprise group before becoming CEO. Architect of the cloud-first, AI-first transformation.

EVP AND CHIEF FINANCIAL OFFICER SINCE CFO SINCE 2013

Amy Hood

Joined Microsoft in 2002; held finance roles across the Business Division before becoming CFO. Credited with capital discipline through the cloud era.

EVP AND CEO OF MICROSOFT AI; LEAD OF THE MAI SUPERINTELLIGENCE TEAM SINCE JOINED MARCH 2024; TEAM FORMED NOV 2025

Mustafa Suleyman

Co-founder of DeepMind and Inflection AI; leads consumer AI (Copilot) and the in-house MAI model effort unveiled at Build 2026.

VICE CHAIR AND PRESIDENT SINCE PRESIDENT SINCE 2015; VICE CHAIR SINCE 2021

Brad Smith

Chief legal, policy and government-affairs leader; long-tenured executive overseeing regulatory, AI policy, and corporate responsibility.

PRODUCT & REVENUE MODEL

- Recurring subscriptions (M365 commercial/consumer, Dynamics, LinkedIn, plus M365 Copilot and GitHub Copilot per-seat AI) form the high-margin base.
- Consumption cloud, Azure compute, storage, and AI inference/training, is the primary growth driver, billed on usage.
- Transactional/device/advertising covers Windows OEM, Surface, search/news ads, and Xbox.

- AI monetizes both as premium per-seat SKUs (~\$30/user/month) and metered Azure AI/OpenAI consumption, with management moving toward more consumption-based pricing over time.

RECENT NEWS

2026-04-29

Microsoft FQ3 2026 beats as Azure reaccelerates to 40%; AI run-rate tops \$37BSOURCE: [CNBC](#)

Azure +40% (+39% cc) beat the 37-38% guide and reversed several quarters of deceleration; AI run-rate surpassed \$37B (+~123% YoY) and Microsoft Cloud crossed \$50B for the first time at \$54.5B. The print reframed the AI demand debate in Microsoft's favor.

2026-04-29

Microsoft guides to ~\$190B calendar-2026 capex; stock falls on spending shockSOURCE: [YAHOO FINANCE](#)

The ~\$190B outlook came in ~\$35B above the ~\$155B consensus, with management attributing ~\$25B to memory/component inflation rather than added capacity. Shares fell ~3% after hours on fears depreciation could outrun AI revenue.

2026-04-29

Microsoft 365 Copilot paid seats surpass 20 millionSOURCE: [GEEKWIRE](#)

M365 Copilot paid seats reached 20M+, a ~33% sequential jump from ~15M in January, with seat adds +250% YoY. It confirms accelerating enterprise AI adoption, though ~3.3% penetration shows substantial runway and an unproven full monetization curve.

2026-04-27

Microsoft and OpenAI restructure their agreementSOURCE: [GEEKWIRE](#)

The restructured deal removes Azure exclusivity and IP revenue-share payments while extending Microsoft's IP licensing through 2032; OpenAI's 20% revenue share to Microsoft continues through 2030 but is now capped. It improves Microsoft's long-term margin profile and frees it to build its own frontier models.

2026-03-15

Microsoft reorganizes Copilot and consumer-AI org under Mustafa SuleymanSOURCE: [TRADINGKEY](#)

The reorg consolidated Copilot and consumer-AI efforts to accelerate product velocity and prepare for in-house model integration, signaling intent to own more of the AI stack rather than rely solely on OpenAI.

2026-05-19

At Build 2026, Microsoft unveils seven in-house MAI models, led by MAI-Thinking-1SOURCE: [GEEKWIRE](#)

The MAI Superintelligence Team launched seven models trained from scratch (no distillation), including Microsoft's first reasoning model (MAI-Thinking-1), a 5B MAI-Code-1-Flash for VS Code/GitHub Copilot, and MAI-Image-2.5, a strategic push toward self-sufficiency and lower long-term inference costs versus OpenAI dependence.

2026-05-12

Microsoft signals shift toward consumption-based pricing for AI products

SOURCE: DIRECTIONS ON MICROSOFT

Management commentary that consumption-based pricing for Copilot and AI services is coming sooner than expected, a model shift that could expand the monetizable surface beyond fixed per-seat SKUs but adds revenue-timing variability.

2026-04-30

Investors question whether AI spend will pay off despite the beat

SOURCE: YAHOO FINANCE

Even after a strong quarter, the debate centers on whether near-doubling capex within two years generates sufficient returns before depreciation pressures margins, keeping MSFT's path tied to sustained Azure/Copilot acceleration.

FINANCIALS & KEY METRICS

FQ3 2026 (ended March 31, 2026); most recent reported · 2026-04-29

REVENUE \$82.9B +18% YoY; +15% cc	DILUTED EPS \$4.27	MICROSOFT CLOUD \$54.5B +29% YoY; first quarter above \$50B	AZURE GROWTH +40% YoY +39% cc
AI REVENUE RUN RATE >\$37B annualized +~123% YoY	PRODUCTIVITY AND BUSINESS PROCESSES \$35.0B +17% YoY	INTELLIGENT CLOUD \$34.7B +30% YoY	MORE PERSONAL COMPUTING \$13.2B -1% YoY
M365COPILOT PAID SEATS 20M+ +~33% QoQ; seat adds +250% YoY	CAPEX OUTLOOK ~\$40B current quarter; ~\$190B calendar 2026	NEXT QUARTER AZURE GUIDANCE 39-40% cc growth	

- AI / Product:** AI was the dominant theme. The AI run-rate surpassed \$37B (+~123% YoY), and Azure's reacceleration to 40% was driven substantially by AI inference and training demand.
- Demand:** Demand was broadly positive: Azure consumption growth reaccelerated and was described as constrained more by capacity/supply than by demand, supporting the heavy capex. Microsoft Cloud crossing \$50B and P&BP growing 17% pointed to durable enterprise spend, while More Personal Computing was roughly flat (-1%) on a soft PC/legacy backdrop.

KEY RISKS & DEBATES

- ! **Capital intensity:** ~\$190B calendar-2026 capex (~\$35B above consensus) risks depreciation outrunning AI revenue and compressing operating leverage.
- ! **Memory/component inflation:** ~\$25B of the capex increase is price, not capacity, a sign of cost pressure across the AI supply chain.
- ! **Monetization proof:** M365 Copilot is only ~3.3% penetrated; the full per-seat-to-consumption monetization curve is unproven.
- ! **OpenAI relationship:** the restructured deal removes exclusivity and adds OpenAI as a partial competitor as Microsoft builds its own MAI models.
- ! **Pricing-model shift:** moving Copilot toward consumption pricing adds revenue-timing variability.
- ! **Legacy drag:** More Personal Computing is flat-to-down on a soft PC backdrop.
- ! **Valuation:** at 10.1x EV/Rev the recovery path is tied to sustained Azure/Copilot acceleration.

COMPARABLE COMPANIES

COMPANY	TICKER	TYPE	EV / REV LTM	REV GROWTH YoY	GROSS MARGIN	NOTE
Microsoft	MSFT	Subject	10.1x	18.3%	68.3%	Highest gross margin of the trio; Azure +40% and a >\$37B AI run-rate, offset by ~\$190B capex
Alphabet	GOOGL	Cloud/AI peer	4.9x	21.8%	60.4%	The closest cloud+AI comparable; faster growth at roughly half Microsoft's EV/Rev
Apple	AAPL	Mega-cap peer	10.1x	16.6%	47.9%	Same EV/Rev as Microsoft but slower growth and far lower (hardware-weighted) gross margin

SOURCES: Public-ticker multiples pulled live from [yfinance](#) / [Yahoo Finance](#), as of the 2026-06-03 market close; EV/Rev recomputed from last close × shares + net debt.

PRIMARY FILINGS (SEC EDGAR)

8-K	filed 2026-05-14	·	period 2026-05-13	View on EDGAR >
10-Q	filed 2026-04-29	·	period 2026-03-31	View on EDGAR >
8-K	filed 2026-04-29	·	period 2026-04-29	View on EDGAR >
10-Q	filed 2026-01-28	·	period 2025-12-31	View on EDGAR >

10-K filed 2025-07-30 · period 2025-06-30

[View on EDGAR >](#)

10-K filed 2024-07-30 · period 2024-06-30

[View on EDGAR >](#)

SOURCE: SEC EDGAR · CIK 0000789019 · primary filings of record.

SLIDE-READY BULLETS

- 1 Microsoft FQ3'26: revenue \$82.9B (+18%), EPS \$4.27, Microsoft Cloud \$54.5B (first quarter >\$50B), Azure reaccelerating to +40%.
- 2 AI is now a >\$37B run-rate business (+~123% YoY); M365 Copilot paid seats topped 20M (+250% YoY adds), but only ~3.3% penetrated.
- 3 The market's worry is spend: ~\$190B calendar-2026 capex, ~\$35B above consensus, ~\$25B of it memory/component inflation, shares fell ~3%.
- 4 Strategic pivot to self-sufficiency: OpenAI restructuring drops Azure exclusivity/IP share (licensing to 2032) and seven in-house MAI models debut at Build 2026.
- 5 Trades at 10.1x EV/Rev (2026-06-03 close) with the trio's highest gross margin (68.3%); the re-rate hinges on Azure/Copilot durability.

SMART DILIGENCE QUESTIONS

- Q1 How quickly does the ~\$190B capex convert to revenue and FCF, and what does the depreciation schedule do to operating margin over FY27-28?
- Q2 What is the true M365 Copilot monetization curve as pricing shifts toward consumption, net revenue per seat and attach rate trajectory?
- Q3 Post-restructuring, how does the OpenAI relationship evolve as both partner and competitor, and what does in-house MAI do to inference costs?

SLIDE KIT

Logo, stats, and copy-paste artifacts

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- Cloud / AI Infrastructure
- Enterprise Software
- Productivity SaaS

COPY-PASTE STATS

\$82.9B (+18% YoY; +15% cc)

TOP 3 SLIDE BULLETS

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- AI is now a >\$37B run-rate business (+~123% YoY); M365 Copilot paid seats topped 20M (+250% YoY adds), but only ~3.3% penetrated.
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BRAND COLORS

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BRAND TAGS

- Cloud / AI Infrastructure
- Enterprise Software
- Productivity SaaS

Sources: Company IR, earnings transcripts, Bloomberg, SEC filings, Sacra, Crunchbase, yfinance
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